

Policy_ID: CIP-ECC-002

Policy_Name: Employee Conduct, Ethics & Anti-Fraud Policy

Version: 5.2

Effective_Date: 2025-11-10

Risk_Category: HR & Ethics

Applicable_Regulations: [FCPA, UK Bribery Act, OECD Principles]

Owner: Human Resources & Compliance

Employee Conduct, Ethics & Anti-Fraud Policy

1. Ethical Conduct Standards [Risk Score: 4]

All employees must act with honesty, transparency, and integrity. Prohibited behaviors include:

- Discrimination, harassment, or retaliation.
- Falsifying time sheets, expenses, or financial documents.
- Misuse of company assets for personal gain.

Non-Compliance Impact: Fraudulent behavior is a **High Risk** violation resulting in immediate termination and potential legal action.

2. Gift & Hospitality [Risk Score: 3]

- **Prohibited:** Accepting gifts/entertainment exceeding **\$100 USD**.
- **Prohibited:** Accepting cash, gift cards, or personal favors.
- **Permitted:** Promotional items <\$30; Meals <\$60 (with approval).

Non-Compliance Impact: Violating gift limits creates a Conflict of Interest risk (Score 3). Repeated violations may lead to suspension.

3. Conflict of Interest [Risk Score: 4]

Employees must disclose situations such as:

- Family members working for suppliers/competitors.
- Personal businesses overlapping with Capstone services.
- Romantic relationships affecting reporting lines.

Non-Compliance Impact: Failure to disclose a conflict of interest is a **High Risk** violation.

4. Anti-Fraud Controls [Risk Score: 5]

- **Segregation of Duties:** Mandatory for financial roles.
- **Approvals:** Dual-authorization required for transactions > **\$25,000**.
- **Reporting:** Suspicious activity must be reported within **24 hours** to audit@capstone.inc.

Non-Compliance Impact: Bypassing financial controls is a **Critical Risk** (Score 5) treated as potential embezzlement.

5. Harassment & Workplace Safety [Risk Score: 5]

Capstone enforces a **Zero-Tolerance** policy for sexual harassment, threats, or discrimination.

- **Reporting:** Anonymous reporting available via Ethics Hotline (+1-800-CAP-SAFE).

Non-Compliance Impact: Harassment findings result in **Immediate Termination** (Critical Risk).